

**BEFORE THE
FEDERAL MARITIME COMMISSION**

MSRF Inc.	)	
	)	
<i>Complainant,</i>	)	DOCKET NO. 22-20
	)	
v.	)	
	)	
HMM Company Limited,	)	
<i>Respondent.</i>	)	
	)	

**AFFIRMATION OF NEIL A. QUARTARO
IN SUPPORT OF MOTION FOR ATTORNEY’S FEES**

Neil A. Quartaro, an attorney licensed to practice in the Courts of the State of New York, under penalty of perjury, affirms as follows:

1. I am an attorney duly licensed to practice law in the State of New York, and am a partner at the law firm of Cozen O’Connor, P.C. (“Cozen”).
2. I am lead counsel for the Respondent HMM Company Limited (“HMM”), in the above-captioned matter and, as such, I am fully familiar with the facts and circumstances hereinafter set forth.
3. This Affirmation is submitted in support of Respondent’s Motion for Attorney’s Fees.

The MCS Complaint

4. I have recently become aware of the complaint dated July 28, 2021 in *MCS Industries, Inc., v. COSCO Shipping Lines Co., Ltd., et al.*, FMC Docket 21-05 (the “MCS Complaint”). Attached hereto as Exhibit 1 is a true and correct copy of the MCS Complaint.
5. I have compared the MCS Complaint with the complaint dated August 11, 2022 filed by MSRF in the instant action (the “MSRF Complaint”), using both a physical side-by-side comparison and an electronically-generated red-line comparison prepared using the “Compare” feature in Microsoft Word (the “Compare”).
6. To highlight the similarities between the MCS Complaint and the MSRF Complaint, the Compare uses a version of the MCS Complaint that removes paragraphs not copied by MSRF.

7. Attached hereto as Exhibit 2 is a true and correct copy of the Compare.¹

8. It is apparent from the Compare that the two complaints are nearly identical, with only party references changes, the exclusion of collusion-related allegations, and, in some cases, synonymous words or terms substituted for the original language.

9. For example, paragraphs 2 and 3 of the MSRF Complaint are identical to paragraphs 2 and 3 of the MCS Complaint, with only one deletion in paragraph 2. See Exhibit 3.

10. The jurisdictional allegations in the MSRF Complaint, contained in paragraphs 14 through 20, are identical to paragraphs 22 through 28 of the MCS Complaint, with only logical or minor non-substantive changes. See Exhibit 3.

11. This pattern is repeated in the Alleged Facts of the MSRF Complaint. For example, paragraphs 21 through 23 of the MSRF Complaint are the same as paragraphs 29 through 31 of the MCS Complaint. Paragraphs 24 and 25 of the MSRF Complaint are the same as paragraphs 33 and 34 of the MCS Complaint, while paragraphs 26 and 27 of the MSRF Complaint are the same as paragraphs 42 and 43 of the MCS Complaint.

12. In other words, the factual allegations of the MSRF Complaint appear to be copied nearly verbatim from the MCS Complaint.

13. The MCS Complaint was filed against two carriers under different service contracts. The MCS Complaint accordingly refers to “service contracts”. The MSRF Complaint alleges only a single service contract. However, in copying the MCS Complaint, the MSRF Complaint erroneously imported the plural “service contracts”.

14. The grammatically improper importation of the term “service contracts” into the MSRF Complaint can be seen in paragraphs 12, 15, 18, 19, 20 (twice), 22, 56, and Wherefore 2.

15. The Causes of Action alleged in the MSRF Complaint are also identical to those of the MCS Complaint. In fact, commencing with paragraph 28 of the MSRF Complaint, the Causes of Action, Causation, Complainant’s Damages, and Prayer for Relief sections are identical to the MCS Complaint commencing on paragraph 45.

The Damages Spreadsheets

16. On February 17, 2023, MSRF produced an Excel spreadsheet purporting to document its alleged damages and seeking \$1,770,303.63, plus interest, attorney’s fees and costs (the “Initial Damages Summary”). HMM relied on the Initial Damages Summary to analyze MSRF’s claims for damages and prepare for the depositions of MSRF’s witnesses.

¹ To avoid any suggestion that HMM has “cherry picked” the allegations of the MSRF Complaint, attached as Exhibit 3 is a compare of the original MCS Complaint against the MSRF Complaint.

17. When MSRF's witnesses were questioned about the Initial Damages Summary, counsel for MSRF agreed that it contained material errors, including claims falling outside the term of the Service Contract, claims for lanes not in the Service Contract, and claims that were directed at Yang Ming, not HMM.

18. MSRF retracted the Initial Damages Summary during the depositions.

19. On or about March 22, 2023, MSRF produced a revised damages spreadsheet alleging similar damages of \$1,768,328.68, plus interest, attorney's fees and costs (the "Revised Damages Summary").

20. The Revised Damages Summary also had significant and material errors, including missing information and unsupported claims, and also alleged damages that were inflated by erroneous calculations, for example by seeking recovery for 124 containers when the claimed shortfall was 16 containers or by assuming that HMM would have charged \$0 for freight (which significantly increased the damage claim).

21. No further damages summaries were provided by MSRF during the Proceeding.

22. MSRF's "brief" reduced MSRF's damages claims from \$1,768,328.68 to \$228,171.52, or approximately 13% of the amount of damages initially alleged.

HMM's Attorney's Fees and Costs

23. Cozen billed HMM on an hourly basis, with each timekeeper recording their time on a centralized computer system. Bills are typically generated every month, or on occasion every several months.

24. Attached hereto as Exhibit 4 are true and correct copies of the invoices issued from Cozen's retention by HMM on June 29, 2022 to the issuance of the Initial Decision on November 22, 2023 by Cozen to HMM in respect of this matter (the "Invoices").²

25. All of the Invoices have been paid by HMM in full, without deduction or offset of any kind.

26. I am familiar with all of work done by Cozen in this matter, the Cozen attorneys who performed said work, and other pertinent information related to the legal fees and costs incurred by HMM in defending this matter.

27. The attorneys who performed the vast majority of work on this claim are myself and Kathryn Sobotta, supported at certain stages by Joshua Stein.

² The Invoices have been redacted only to remove references to privileged materials.

28. I graduated law school in 2002 and during the pendency of this matter charged HMM a rate of \$740.00-760.00 per hour (Cozen's fees are subject to a yearly adjustment and, while still very reasonable, were increased slightly in 2023).

29. Upon information and belief and a review of his *curriculum vitae* maintained by Cozen, my partner Joshua Stein graduated law school in 2006 and during the pendency of this matter charged HMM a rate of \$705.00-755.00 per hour.

30. Upon information and belief and a review of her *curriculum vitae* maintained by Cozen, associate Kathryn Sobotta graduated law school in February of 2020 and during the pendency of this matter charged HMM a rate of \$420.00-460.00 per hour.

31. We were assisted on two technical legal questions related to FMC practice by my partner Wayne Rhode, whom I believe is well known to the Commission. Upon information and belief and a review of his *curriculum vitae* maintained by Cozen, Mr. Rhode, who graduated law school in 1989, charged HMM a rate of \$825 per hour during the pendency of this matter.

32. In addition to the primary attorneys, during the discovery process Cozen used e-discovery specialists to help obtain, download, and process the significant quantity of electronically stored information ("ESI") found in this case. The rates and roles of these specialists follow:

<u>Name</u>	<u>Role</u>	<u>Rate</u>
Kenneth Carruth	E-Discovery supervisor	\$350
Shari Coltoff	E-discovery specialist	\$260
Emily Plowcha	E-discovery specialist	\$260
Andrew May	E-discovery specialist	\$230
Evelyn Jordan	E-discovery specialist	\$210

33. All of the listed specialists were used to identify, download, process, and manage the ESI produced by and to HMM, totaling approximately 20,000 documents.

34. The handling of this volume of ESI incurred certain data transfer, hosting and production costs. All of these costs are listed as disbursements in the relevant Invoices, such as "Relativity Hosting" and "Electronic Production."

35. In order to review the documents in the most cost-effective manner, Cozen utilized an outside vendor, System One Holdings, LLC ("System One"), that supplied contract attorneys trained in document review. The System One document review attorneys offered very competitive rates of less than \$100 per hour and were used to reduce the cost of discovery as much as possible. The System One costs appear as disbursements on the relevant invoices.

36. I believe the hourly rates charged by all of the Cozen timekeepers who worked on this matter were reasonable for the Washington, D.C., market and fairly reflected the skill and experience of each timekeeper.

37. I believe all of the fees and costs incurred by HMM in defending this matter were reasonable in light of the nature and value of the claims asserted and the factual and legal issues raised thereby.

38. In describing the work done to defend HMM against MSRF's claims, and to assist the Presiding Officer in determining the reasonability of these fees, I have divided this Proceeding into three distinct phases: (1) reviewing the Complaints filed by MSRF and responding thereto; (2) Discovery; and (3) Briefing. I address the fees and costs incurred in each stage below.

Review and Answer Complaints – June 29, 2022 to September 13, 2023

39. Cozen began work on this matter by reviewing the first complaint and investigating the allegations contained therein on June 29, 2022.³

40. Among other tasks, the Complaint and Answer phase required Cozen to confer with HMM, review preliminary documents and interview possible witnesses, and assess the legal strength of MSRF's claims, evaluate possible affirmative defenses, counterclaims, and preliminary objections.

41. The total hours and fees spent on reviewing both of MSRF's complaints, obtaining dismissal of the first complaint, investigating the claims, and preparing and filing an answer to the complaint in this action, were:

<u>Timekeeper</u>	<u>Amount</u>	<u>Hours</u>
Quartaro, Neil	\$ 11,248.00	15.2
Stein, Joshua	\$ 8,460.00	12.0
Total	\$ 19,708.00	27.2

42. This phase of the case culminated in the filing of HMM's Answer on September 13, 2023.

Discovery – September 15, 2022 to April 20, 2023

43. Discovery in this case was extensive due to the wide-ranging nature of MSRF's claims and discovery demands and mostly consisted of ESI.

44. The parties exchanged discovery demands, including initial disclosures, requests for production of documents, and requests for admission.

45. MSRF's First Request for Production of Documents sought, *inter alia*, "all documents relating to [the Service Contract]" and "all communications between Complainant and Respondent relating

³ As the Commission is aware, MSRF first filed a single complaint against both HMM and Yang Ming under docket number 22-14. When the procedural problems created by pursuing separate factual claims against different defendants were pointed out to MSRF, the complainant withdrew the initial complaint and filed separate complaints against each of HMM and Yang Ming.

to [the Service Contract].” Attached hereto as Exhibit 5 is a true and correct copy of HMM’s First Request for Production of Documents.

46. MSRF’s broad discovery demands meant that HMM first had to identify all of the personnel who performed any work related to the Service Contract or corresponded with MSRF and who might therefore be custodians of ESI, which included numerous people in different locations in the United States and South Korea.

47. Because the collection of ESI is necessarily technical, Cozen used e-discovery specialists and technology wherever possible to assist in the searching, collection, processing and hosting of ESI and thereby keep costs as low as possible.

48. Cozen also used technology to identify and produce 14,280 documents consisting of approximately 50,000 pages, but all of these documents had to be reviewed for relevance and privilege.

49. Complainant produced a large amount of ESI as well. After using technology to remove duplicate documents, Respondent was left with approximately 1,500 of Complainant’s documents to review.

50. The parties each had two primary employees involved with the negotiation and performance of the Service Contract at issue in this matter, for a total of four witnesses, who were deposed over a two day period in Chicago on March 1 and 2, 2023. The depositions were held in Chicago because MSRF is located on the outskirts of that city and its counsel is admitted in Illinois and practices in Chicago.

51. The depositions were attended by myself and Kathryn Sobotta. Our attendance at the depositions required HMM to incur costs for our travel and concomitant hotel accommodations.

52. In addition to discovery, during this period HMM also incurred fees in the normal course of handling the case, such as preparing the draft scheduling order, drafting HMM’s section of the confidentiality motion and revised confidentiality motion, and other common and necessary tasks to progress the case.

53. The total hours and fees spent on discovery and related tasks, including preparing initial disclosures, discovery demands, collecting, processing and reviewing possibly responsive documents, preparing discovery responses and objections, reviewing MSRF’s document productions, preparing for and attending four depositions, and the associated typical litigation tasks, were:

<u>Timekeeper</u>	<u>Amount</u>	<u>Hours</u>
Quartaro, Neil	\$87,602.00	116.4
Sobotta, Kathryn	\$41,970.00	92.1
Coltoff, Shari	\$5,668.00	21.8
May, Andrew	\$3,976.00	17.1
Stein, Joshua	\$1,158.00	1.6
Plowcha, Emily	\$1,092.00	4.2
Carruth, Kenneth	\$1,015.00	2.9
Jordan, Evelyn	\$420.00	2.0

Rohde, Wayne	\$330.00	0.4
Total	\$143,231.00	258.5

54. HMM also incurred significant costs in the discovery phase of this case, starting with the location, searching, and downloading of possibly relevant data and continuing with the processing, review and hosting of the data up to the date of the Initial Decision, and including travel costs to the depositions.

55. Virtually all of the \$29,677 in costs HMM incurred in defending this action were in the discovery phase and are documented as disbursements on the Invoices, commencing with the period October, 2022.

Briefing – April 21, 2023 to November 22, 2023

56. Briefing commenced with reviewing and replying to MSRF's Initial Filing which, at only five pages, forced HMM to argue every available defense.

57. During the drafting of HMM's brief, all five of MSRF's causes of action required computer legal research and the review of evidence collected during discovery and the depositions. HMM also prepared and filed a statement of facts to counter those advanced by MSRF.

58. MSRF's reply brief then introduced new arguments that required HMM to file the Motion to Strike or File a Sur-reply. HMM then incurred the expense of filing the authorized sur-reply.

59. All of MSRF's filings were reviewed and analyzed so that cogent defenses and responses could be prepared.

60. HMM also incurred fees when the Initial Decision was issued, as this required review and analysis.

61. The total hours and fees spent on briefing, including reviewing and analyzing all of MSRF's filings, the preparation and drafting of HMM's brief, statement of facts, motion to strike, and sur-reply, and reviewing the Initial Decision, were:

<u>Timekeeper</u>	<u>Amount</u>	<u>Hours</u>
Quartaro, Neil	\$44,004.00	57.9
Sobotta, Kathryn	\$36,018.00	78.3
Stein, Joshua	\$1,057.00	1.4
Rohde, Wayne	\$742.50	0.9
Tronco, Siobhan	\$33.00	0.1
Total	\$81,854.50	138.6

62. In total, HMM incurred **\$244,763.50** in legal fees defending this action, all of which is documented further in the Invoices.

63. HMM incurred an additional **\$29,677** in costs defending this action, primarily related to the collection, processing, review, storage, and production of the ESI demanded by MSRF.

64. I believe that the attorney's fees and costs incurred by HMM are reasonable in light of the allegations and handling of this matter, which sought over \$2,000,000 in damages once MSRF's demands for interest and its own attorney's fees and costs are included.

I declare under penalty of perjury that the foregoing is true and correct.

New York, New York

January 25, 2024

/s/_____

Neil Quartaro